FMO

Monthly Cash Flow

PROJECT 3 ACTIVITY

MONTHLY CASH FLOW EXERCISE

Use the following scenario cards to fill out the Monthly Cash Flow Statement worksheet.

You pay a $150 car payment.	You receive your monthly gross salary of $2,000.	You pay rent of $450 per month.	You pay your medical insurance of $75 a month.
You pay your renter's insurance of $20.	You pay your car insurance of $50.	You pay for monthly groceries $200.	Your monthly utilities are due. You owe $125.
Your monthly bill for gasoline comes in and you must pay $75.	It's your mother's birthday. You purchase a $50 present.	Taxes come out of your paycheck. Federal Tax $150 State Tax $50 Social Security $150	You go to a movie with a friend that costs $10.
You put $100 into savings for a vacation at the beach.	You hit a pothole and have a flat tire. You must pay $75 for a new one.	You go out to dinner with friends. Your bill is $25.	You find the perfect outfit for your date this weekend. You pay $100 for the outfit.

Monthly Cash Flow

PROJECT 3 ACTIVITY: MONTHLY CASH FLOW EXERCISE

MONTHLY CASH FLOW STATEMENT WORKSHEET

Complete this worksheet with the information from the green scenario cards.

Income	
Gross salary	
Total Income	
Expenditures	
Fixed Expenses	
Rent	
Renter's insurance	
Automobile loan payment	
Automobile insurance	
Medical insurance	
Revolving savings fund	
Federal income tax	
State income tax	
Social Security tax	
Total Fixed Expenses	
Variable Expenses	
Food	
Utilities	
Gasoline and maintenance	
Clothing and personal upkeep	
Gifts	
Miscellaneous	
Total Variable Expenses	
Total Expenses	
SURPLUS (DEFICIT)	

Monthly Cash Flow

Income	
Gross salary	$2,000
Total Income	$2,000
Expenditures	
Fixed Expenses	
Rent	$450
Renter's insurance	$20
Automobile loan payment	$150
Automobile insurance	$50
Medical insurance	$75
Revolving savings fund	$100
Federal income tax	$150
State income tax	$50
Social Security tax	$150
Total Fixed Expenses	$1,195
Variable Expenses	
Food	$200 + $25 = $225
Utilities	$125
Gasoline and maintenance	$75 + $75 = $150
Clothing and personal upkeep	$100
Gifts	$50
Miscellaneous	$10
Total Variable Expenses	$660
Total Expenses	$1,855
SURPLUS (DEFICIT)	$145

Income Statement

- The statement displays the company's revenue, costs, gross profit, selling and administrative expenses, other expenses and income, taxes paid, and net profit

- Income Statement compares the profitability of the firm to prior years

- Total (yearly) revenues minus total (yearly) expenditures

Income Statement

- Convey details of profitability and business activities of the company to the stakeholders

- Provides detailed insights into the company's internal activities for comparison across different businesses and sectors.

Income Statement

APPLE INC.

CONSOLIDATED STATEMENTS OF OPERATIONS

(In millions, except number of shares which are reflected in thousands and per share amounts)

	Year Ended December 31,	2017	2016	2015
1	Revenue			
	Net sales	$229,234	$215,639	$233,715
2	Costs of Revenue			
	Cost of sales	141,048	131,376	140,089
	Gross Profit	88,186	84,263	93,626
3	Operating expenses:			
	Research and development	11,581	10,045	8,067
	Selling, general and administrative	15,261	14,194	14,329
	Total operating expenses	26,842	24,239	22,396
	Operating income	61,344	60,024	71,230
4	Other Revenue and Expenses			
	Other income/(expense), net	2,745	1,348	1,285
	Income before provision for income taxes	64,089	61,372	72,515
	Provision for income taxes	15,738	15,685	19,121
	Net income	48,351	45,687	53,394

Income Statement

Excel Sports Income Statement
For the quarter ended 30 September 2018

Revenue	Merchandise Sale	25,800
	Revenue from Training	5,000
	Total Revenue	30,800
Expenses	Procurement Costs	8,000
	Wages	700
	Rent	1,000
	Interest Paid	500
	Transportation	300
	Utilities	150
	Total Expenses	10,650
Gains	Income from sale of van	2,000
Losses	Settlement cost of consumer lawsuit	800
Net Income	(Revenue + Gains) - (Expenses + Losses)	21,350

Net Income = (Revenue + Gains) - (Expenses + Losses)

Income Statement

Operating Revenue

- Revenue realized through primary
- For a company manufacturing a product, the revenue from primary activities refers to revenue achieved from the sale of the product.

Non-Operating Revenue

- Revenue realized through secondary, noncore business activities
- May include income from interest earned on business capital parked in the bank, rental income from business property

Income Statement

Gains

- Other sundry income , gains indicate the net money made from other activities, like the sale of long-term assets.

- Income realized from one-time nonbusiness activities, such as a company selling its old transportation van, unused land, or a subsidiary company.

Loses

- Loss-making sale of long-term assets, one-time or any other unusual costs, or expenses toward lawsuits.

Final Net Earnings number for both the **final month of the cash flow statement** is *exactly* the same as the **year-end Net Earnings total for the Income Statement**, reflecting the same time period

	Sep-00	Oct-00	Nov-00	Dec-00
REVENUES (inflow)				
SALES	$22,000.00	$28,000.00	$35,000.00	$46,000.00
INTEREST	$39.14	$85.66	$153.62	$246.65
RECEIPTS	$22,039.14	$28,085.66	$35,153.62	$46,246.65
EXPENDITURES (outflow)				
MATERIALS COST AND MFG. LABOR	$1,100.00	$1,400.00	$1,750.00	$2,300.00
SALES COMMISSIONS	$2,200.00	$2,800.00	$3,500.00	$4,600.00
COST OF GOODS SOLD (COGS)	$3,300.00	$4,200.00	$5,250.00	$6,900.00
GROSS MARGIN	$18,739.14	$23,885.66	$29,903.62	$39,346.65
SALARY AND BENEFITS OF CEO	$3,000.00	$3,000.00	$3,000.00	$3,000.00
SALARY AND BENEFITS OF ASSISTANT	$2,000.00	$2,000.00	$2,000.00	$2,000.00
RENT	$500.00	$500.00	$500.00	$500.00
TELEPHONE AND OTHER	$75.00	$75.00	$75.00	$75.00
ADVERTISING	$2,000.00	$2,000.00	$2,000.00	$2,000.00
EQUIPMENT	$0.00	$0.00	$0.00	$0.00
TOTAL FIXED COSTS	$7,575.00	$7,575.00	$7,575.00	$7,575.00
MONTHLY CASH FLOW	$11,164.14	$16,310.66	$22,328.62	$31,771.65
ENDING CASH BALANCE	$20,557.84	$36,868.50	$59,197.12	$90,968.77
EBIDT* PROFITS	$11,164.14	$16,310.66	$22,328.62	$31,771.65
CUMULATIVE EBIDT* PROFITS	($14,442.16)	$1,868.50	$24,197.12	$55,968.77
Depreciation Expense for Tax Purposes				$4,500.00
EBIT Profits				$51,468.77
Taxes				$23,160.95
EBI Profits				$28,307.82
NET EARNINGS FOR YEAR (PROFIT AFTER TAX)				**$21,507.82**

Operating Information			
Net Earnings			$ 172,593.77
Expenses			
	Cost of Goods Sold		$ 25,725.00
	Total Salary/Benefits		$ 60,000.00
	Advertising		$ 24,000.00
	Rent		$ 6,000.00
	Other		$ 900.00
EBIDT Profits			$ 55,968.77
	Depreciation		$ 4,500.00
	Taxes		$ 23,160.95
AFTER TAX PROFIT			$ 28,307.82
	Accumulated Interest Expenses		$ 6,800.00
Earnings After Accumulated Interest			$ 21,507.82

Income Statement

- Income Statement's year-end figures for COGS, Salary, Rent, Advertising, and sales should be the 12 month totals of the cash-flows corresponding to the respective line item

- Likewise, depreciation and taxes should be equal for that fiscal year

Balance Sheet

- Balance Sheets lists **ASSETS and LIABILITIES**

  - ✓ Snapshot of financial position at a specific point in time
  - ✓ Provides historical information
  - ✓ Prepared as of a specific date
  - ✓ Follows a fixed format and structure
  - ✓ Based on the fundamental accounting equation
  - ✓ Reported at historical cost
  - ✓ Allows for comparative analysis

Balance Sheet

- Examples of Assets include:
  - Land and Capital Equipment less accrued depreciation
  - Intellectual Property (if purchased)
  - Accounts Receivable
  - Inventory
  - Retained Earnings from Previous Years
- Examples of Liabilities include:
  - Short Term Debt (loans)
  - Long Term Debt (bond issues, etc)
  - Accounts Payable
  - Interest Payable
  - Taxes Payable

  - **The difference between Assets and Liabilities is your EQUITY**

Balance Sheet

Particulars	Amount (in ₹)	Amount (in ₹)
Equity and Liabilties		
Shareholders fund:		
Common Stock	50,000	
Retained Earnings	60,000	1,10,000
Liabilities:		
Current Liabilities		
Accounts Payable	25000	
Short Term Loan	10000	
Accrued Liabilities	8000	43,000
Long Term Liabilities		
Long-Term Loans	60,000	
Deffered Tax Liabilities	12,000	72,000
Total		**2,25,000**
Assets:		
Current Assets		
Cash and Cash Equivalents	50,000	
Accounts Receivable	30,000	
Inventory	20,000	
Prepaid Expenses	5,000	1,05,000
Fixed Assets		
Property, Plant, and Equipment	1,50,000	
Accumulated Depreciation	-30,000	
Net Fixed Assets		1,20,000
Total		**2,25,000**

Balance Sheet

Example Corporation
Balance Sheet
December 31, 2022

ASSETS	
Current assets	
Cash and cash equivalents	$ 2,200
Short-term investments	10,000
Accounts receivable - net	39,500
Other receivables	1,000
Inventory	31,000
Supplies	3,800
Prepaid expenses	1,500
Total current assets	89,000
Investments	36,000
Property, plant & equipment - net	
Land	5,500
Land improvements	6,500
Buildings	180,000
Equipment	201,000
Less: accumulated depreciation	(56,000)
Property, plant & equipment - net	337,000
Intangible assets	
Goodwill	105,000
Other intangible assets	200,000
Total intangible assets	305,000
Other assets	3,000
Total assets	$ 770,000

LIABILITIES	
Current liabilities	
Short-term loans payable	$ 5,000
Current portion of long-term debt	15,000
Accounts payable	20,900
Accrued compensation and benefits	8,500
Income taxes payable	6,100
Other accrued liabilities	4,000
Deferred revenues	1,500
Total current liabilities	61,000
Long-term liabilities	
Notes payable	20,000
Bonds payable	375,000
Deferred income taxes	25,000
Total long-term liabilities	420,000
Total liabilities	481,000
Commitments and contingencies (see notes)	
STOCKHOLDERS' EQUITY	
Common stock	110,000
Retained earnings	220,000
Accum other comprehensive income	9,000
Less: Treasury stock	(50,000)
Total stockholders' equity	289,000
Total liabilities & stockholders' equity	$ 770,000

The accompanying notes are an integral part of this statement.

Balance Sheet

BALANCE SHEET EXERCISE

Use the following scenario cards to fill out the Balance Sheet worksheet.

You have $1250 in your checking account.	You have $1750 in your revolving savings account.	You purchased a computer last summer and it is valued at $500.	You received a graduation gift of a watch and it is valued at $300.
You purchased new furniture for your apartment. It is valued at $1,000, but you still owe $400.	Your car is valued at $5,000, but you still owe $1,500.	You owe $300 on a credit card.	You have put $1,000 into a Roth IRA.
You participate in your employer's 401k program. You have saved $5,000.	You need a root canal procedure at your dentist office. You owe $400.	You just cashed your income tax refund of $1,000.	You purchased a flat-screen TV that is valued at $500.
You have $75 in cash.	You have a student loan balance of $20,000.	You purchase a condo for $60,000 and you owe $45,000.	You and your best friend move into your new condo. They pay you $450 a month in rent.